

A Study on Retail Investor Behavior Amid Geopolitical Uncertainty and Macroeconomic
Movements.

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Abstract

In recent times, the frequency of geopolitical uncertainty is rising, resulting in macroeconomic adjustments across global countries. Amid such uncertainty and significantly growing retail participation in financial markets, it becomes necessary to study retail investor behavior. Despite the existing research in this area, reallocation across asset classes during periods of uncertainty remains unaddressed.

This study examines the behavioral response of retail investors to currency depreciation, monetary policy adjustments, and geopolitical developments from 2023 to 2025. The secondary data via AMFI, RBI, UCDP, and CFR is used to perform correlation analysis and event-based trend analysis.

The key findings of this study are asset-class differentiation, limited panic behavior, and currency-sensitive and adaptive responses. The results of this study are relevant for analysts, policymakers, and advisors.

Key words: Retail Investor Behavior, Currency Depreciation, Geopolitical Uncertainty, Monetary Policy, Portfolio Allocation, ETFs.

I. Introduction

In recent times, geopolitical developments and macroeconomic shifts have been major factors driving financial market volatility. The period from January 2023 to December 2025 has its own significance as it encompasses important global and domestic events that may have been influencing the retail investor allocation decisions. This timeframe allows an event-based trend analysis incorporating geopolitical tensions, global trade uncertainty, currency depreciation, and repo rate adjustments.

Geopolitical escalations have intensified volatility, while rupee depreciation and repo rate movements may have produced varying effects in financial markets. During this period, the prices of gold and silver have reached record highs, indicating increasing interest of retail investors in defensive as well as alternative assets. Traditionally, retail investors reallocate their funds toward safe-haven assets like gold, as they are risk-averse during periods of uncertainty. Thus, a shift in the behavior of retail investors can be observed in recent times.

Prior literature has examined retail investors' response to market volatility, gold as a safe-haven asset, and educational and income factors influencing investor allocation decisions. However, limited attention is given to fund flow reallocations across passive investment vehicles during recent periods of uncertainty. In particular, the behavioral dynamics underlying the reallocation of funds into gold, silver, and other ETFs in recent times remain unexplored in the Indian context. In this research study, net inflows into selected instruments (index funds, gold ETFs, and other ETFs¹) are used as a proxy for retail investor behavior.

¹ Other ETFs include: Bandhan Silver ETF, Groww Nifty Capital Markets ETF, Motilal Oswal Nifty MNC ETF, Mirae Asset Nifty Top 20 Equal Weight ETF, Groww Nifty Metal ETF, Mirae Asset BSE 500 Dividend Leaders 50 ETF, DSP Nifty Midcap 150 ETF, DSP Nifty Smallcap 250 ETF (Source: AMFI)

Research Problem and Objectives:

This research aims to examine the association between retail investors' allocation behavior and macroeconomic as well as geopolitical uncertainty in the Indian context. In the recent period, the participation of retail investors has increased due to digital financial accessibility. These investors are investing in passive investment vehicles such as index funds and exchange-traded funds (ETFs) besides stock investments. While existing literature largely focuses on stock price reactions, limited attention has been given to fund flow behavior in passive investment instruments during global uncertainty. However, the observed surge of inflow into relatively volatile funds such as silver ETFs and other non-gold commodity ETFs indicates a potential deviation from conventional risk-averse behavior.

Objectives:

- To examine the association between currency depreciation and repo rate cuts with index funds, Gold ETFs, and other ETFs as proxies for retail investors' behavior.
- To analyze the retail investor allocation responses to geopolitical escalations and global tensions.

II. Literature Review

Analysis and understanding of retail investor behavior has been a popular research study topic from a behavioral finance perspective. There are many existing literature underscoring the factors influencing the retail investor behavior, domestic and foreign, to a certain extent.

The term retail investor was not popularly used in the previous studies. According to Simonn (2025), brokerage companies were the ones to traditionally distinguish two customer segments for their services, i.e., institutional market and retail market. The retail market consists of all private individuals who invested in securities through professional brokers (Van Bunning, 1978; Simonn, 2025). Additionally, Kumar & Rao (2024) mentions that retail investors have a diverse set of knowledge levels and behavioral tendencies that influence their investment decisions. However, these decisions are not rational, but they are irrational, driven by overconfidence, herd behavior², and loss aversion (Raut, 2017; Kumar & Rao, 2024). The concept of irrationality highlights the basic foundation of behavioral studies. Since individuals are irrational while making decisions most of the time, it becomes imperative to study their behavioral traits and factors associated with them.

Investment decisions are influenced by two primary behavioral aspects: risk aversion³ and risk seeking⁴. Risk-seeking behavior dominates due to profit motives, resulting in retail investors investing in complex financial instruments and even sometimes indulging in gambling (Abreu, 2019; Simonn, 2025). In contrast, investors are risk-averse because of adverse socio-economic factors. The level of risk aversion and proneness to mental accounting also depends on an

² Herd behavior describes an individual's behavior of imitating the crowd often suppressing their own rational information.

³ Risk aversion describes a cautious behavior of an individual to avoid losses.

⁴ Risk seeking is also known as risk-loving behavior, where individual finds utility in uncertainty.

individual's income level. Deloitte Economic Analysis: MSCI (Bhargava, 2025) recorded a sudden decline of the MSCI emerging market index in New York during the Russia-Ukraine conflict in 2022. A flight toward safe-haven assets by institutional investors was observed. This implies that the investors are risk-averse amid uncertain situations such as inflation, awr, and slowing growth. This results in a fall in investment exposure to riskier emerging market assets (Bhargava, 2025). However, contrasting results were observed in an analysis of retail millennial investors during the COVID-Pandemic (Talwar et al., 2021; Simonn F, 2025). It was found that in the presence of an external stressor, loss aversion has no significant impact on trading behavior. Another piece of information supported the analysis that local firm bankruptcies had a stronger effect on the risk-taking behavior of retail investors.

Another behavioral aspect, herd behavior, influences the retail investors to follow market trends, i.e., investing more and buying stocks during boom phases and withdrawing investments or selling off stocks during economic downturns (Bansaletal, 2019; Kumar & Rao, 2024). Mishra A. Singal (2020), in Kumar U, Rao D (2024), also highlights the other factors influencing impulsive decision-making also include tense news headlines or reports.

Fewer research studies are available in the recent context of global uncertainty. Hengki Mangiring Parulian Simarmata (2025) attempts to focus on gold and the worldwide tax war. Gold's effectiveness as a safe-haven is context-dependent. It is influenced by multiple factors such as interest rates, exchange rate volatility, inflation expectations, and investor sentiments (Ryan et al. 2024, Triki and Maataug, 2020; Hengki Mangiring Parulian Simarmata, 2025). Hengki Mangiring Parulian Simarmata (2025) reasons that the historic role of gold as a store of value and inflation hedge is due to its intrinsic value, limited supply, and universal acceptance. For example, during the 2008 financial crises the gold prices reached new highs and institutional and retail investors

responded similarly by shifting from equities to bullion (Anhhara, 2020; Hengki Mangiring Parulian Simarmata, 2025).

Research Gap Identified:

Most of the research studies are conducted to examine the factors, such as the education level and income level of the retail investors, influencing their decision-making and risk-taking behaviour. Though some studies have examined gold as a safe-haven asset during volatile situations, other macroeconomic variables remain unaddressed. While this study aims to find the potential association of monetary policy change and geopolitical events with retail investor behaviour.

III. Research Methodology

Research Design and Approach:

This research study adopts quantitative, qualitative, i.e., trend-based analysis, explanatory, and descriptive research design. It underscores the potential association between Index Funds, Gold ETFs, and Other ETFs (including Silver ETFs) as dependent variables and currency depreciation, repo rate reduction, and geopolitical uncertainty as explanatory variables. The time frame selected for the study is Jan 2023 to Dec 2025. This timeline covers the main recent geopolitical events that increased uncertainty in political and economic spheres. This analyzes retail investors' behavior amid volatile situations across multiple scenarios.

Data Collection Method:

The study is solely based on secondary data. The data is collected from official and trusted sources, including the Association of Mutual Funds in India (AMFI), the Reserve Bank of India (RBI), the National Stock Exchange (NSE), the Uppsala Conflict Data Program (UCDP), and the Council on Foreign Relations (CFR). Data for net inflows of Index funds, Gold ETFs, and other

ETFs (in INR Crore) was collected from AMFI. The monthly data has been collected from January 2023 to December 2025. This timeframe was deliberately chosen to encompass major events that heightened uncertainty worldwide. However, only a few major events are considered important for this research study to avoid chaos. It covers events such as continuation of the Russia-Ukraine conflict, the Israel-Hamas war, US-China technological tensions, Houthi Red Sea attacks, tariff fears escalated by USA, depreciation of INR against USD, and repo rate cuts. While establishing an association with events that cannot be quantified, except for exchange rates and repo rate cuts, the escalation and ceasefire events were traced. On the other hand, for the remaining geopolitical events, the dates and their duration were traced. The net inflow of the selected instruments such as index fund, gold ETFs, and other ETFs are used as proxy variables to analyze retail investor behavior.

Secondary data collected has been attached in the appendix section for reference.

Data Analysis:

The secondary data was compiled, cleaned, and analyzed in a systematic way using Microsoft Excel. Correlation as a statistical tool is used to find a correlation between exchange rates, repo rate cuts, and net inflows of Index funds, Gold ETFs, and other ETFs (in INR Crore). However, for non-quantifiable variables such as geopolitics and war, event-based trend analysis is performed. It helped to get better and more visual insights into investors' behavior. Line charts and tables are used for this purpose.

IV. Results

Data Presentations and Findings (Data source: Secondary – AMFI, RBI, NSE, and UCDP):

Correlation was calculated using Microsoft Excel to detect potential associations between dependent and explanatory variables.

- 1) Currency Depreciation Vs Net Inflow of Index Funds, Gold ETFs, and Other ETFs (including Silver ETFs) in INR Crore.

	Index Funds	Gold ETFs	Other ETFs
Correlation with change in Exchange rates(INR/1 USD)	-0.09064	0.4268	-0.26735

Table 1: Correlation with change in exchange rates

The calculated correlation of index funds to changes in exchange rates is very close to zero (-0.09064). Therefore, the exchange rate movements do not significantly influence the investor allocation to index funds. A moderate positive correlation (+0.4268) is observed in the case of Gold ETFs. This suggests that rupee depreciation is associated with inflows of Gold ETFs, supporting the view of gold as a currency hedge and a safe-haven asset. Whereas a mild negative correlation is observed in the case of other ETFs. This suggests that investors partially reallocate away from other ETFs during periods of rupee depreciation.

- 2) Repo Rate Cuts Vs Net Inflow of Index Funds, Gold ETFs, and Other ETFs (including Silver ETFs) in INR Crore.

	Index Funds	Gold ETFs	Other ETFs
Correlation with change in Repo Rate	0.1442	-0.2645	-0.2109

Table 2. Correlation with the change in repo rate

The correlation of repo rate cuts with index funds is weakly positive (+0.1442). The passive equity inflows (index funds) are marginally supported by the expansionary monetary policy. Gold ETFs have a moderately negative correlation with repo rate cuts. This suggests that investors shift away from defensive assets as economic stimulus improves the risk sentiment, leading to a decrease in gold demand. Other ETFs have weak to moderate correlation, which means that lower rates improve direct equity sentiment, reducing the need for alternative ETF allocation.

Event-based Trend Analysis:

- 3) War Vs Net Inflow of Index Funds, Gold ETFs, and Other ETFs (including Silver ETFs) in INR Crore.

With the help of observations in Chart 1, significant inferences can be drawn.

Index Funds: Throughout the time frame, there is a persistent fall in inflows.

Gold ETFs: It is observed that inflows are slowly increasing till the mid phase, and increases with a speed during the last phase.

Other ETFs: The inflows and outflows have been volatile in nature, with increasing inflows in the last phase.

- Russia-Ukraine Conflict

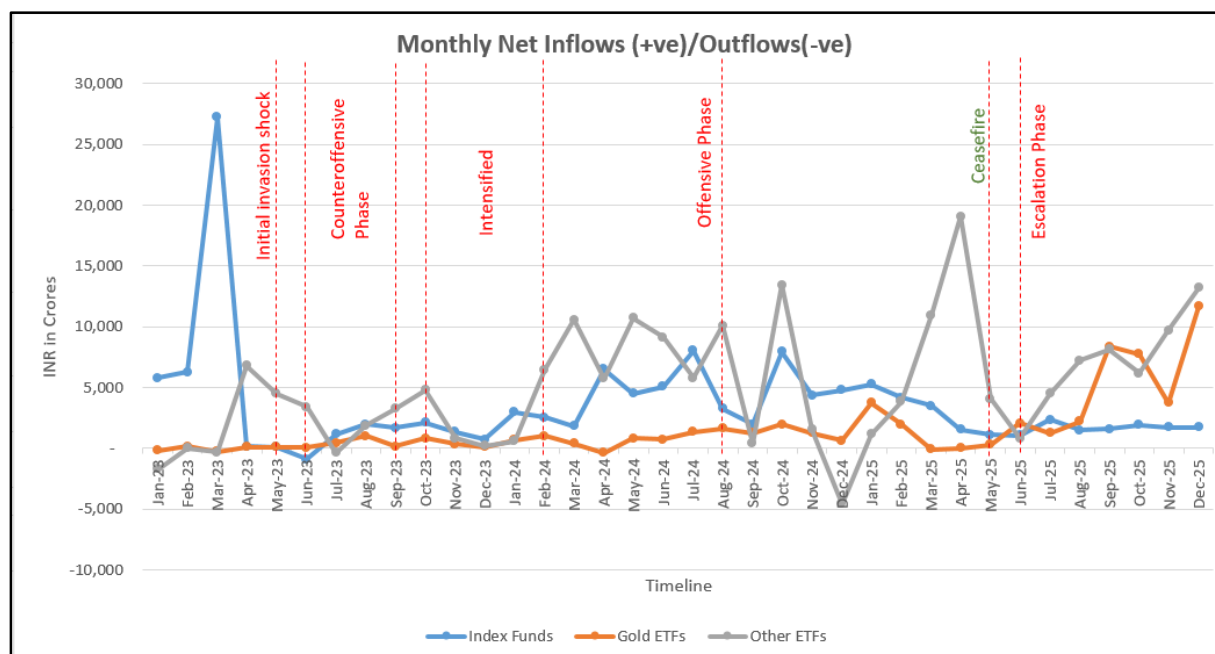


Chart 1: Monthly Net Inflows and Russia-Ukraine Conflict Phase (Data Source: AMFI & UCDP)

Russia-Ukraine Conflict				
Events	Dates/Duration	Effects		
		Index Funds	Gold ETFs	Other ETFs
Initial Invasion shock	Aug 2022 – May 2023	Volatile	Minimal shifts (inflows)	Falling inflows
Counteroffensive phase	Jun 2023 – Sept 2023	Major outflows	Slow and falling inflows	Major outflows, slight inflows at the end
Intensified conflict phase	Oct 2023 – Feb 2024	Major outflows	Less inflows	Outflows and more inflows at the end
Offensive phase	Aug 2024	Outflows, succeeded by inflows	Slight outflows	Sharp outflows thereafter
Ceasefire	May 2025	Falling inflows	Slight rise in inflows	Falling inflows
Escalation phase	Jun 2025	Less inflows	Inflows continued	Inflows continued

- Israel-Hamas War

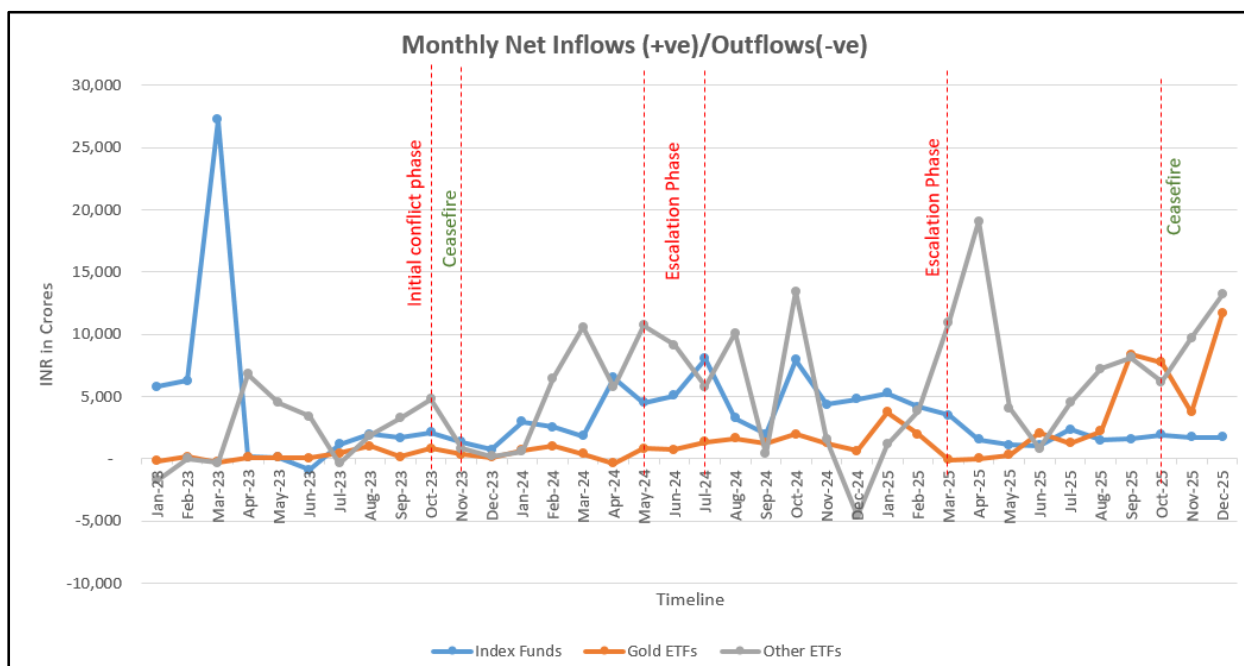


Chart 2: Monthly Net Inflows and Israel-Hamas War Phase (Data Source: AMFI & UCDP)

Israel-Hamas War				
Events	Dates/Duration	Effects		
		Index Funds	Gold ETFs	Other ETFs
Initial Conflict Phase	Oct 2023	Less inflows	Less inflows	Initial rise in inflows
Ceasefire	Nov 2023	Gradual rise in inflows	Falling inflows	Slow rise in inflows
Escalation phase	May 2024 – July 2024	Slight fall in inflows	Slight rise in inflows	Fall in inflows followed by massive outflows
Escalation phase	Mar 2025	Falling inflows	Falling inflows	Rising Inflows followed by a rapid fall
Ceasefire	Oct 2025	Steady inflows	Gradual rise in inflows	Rising inflows

Overall, amid war situations, investors preferred reallocation of assets into safe-haven assets, shifting away from passive equity funds.

- 4) Geopolitics Vs Net Inflow of Index Funds, Gold ETFs, and Other ETFs (including Silver ETFs) in INR Crore.

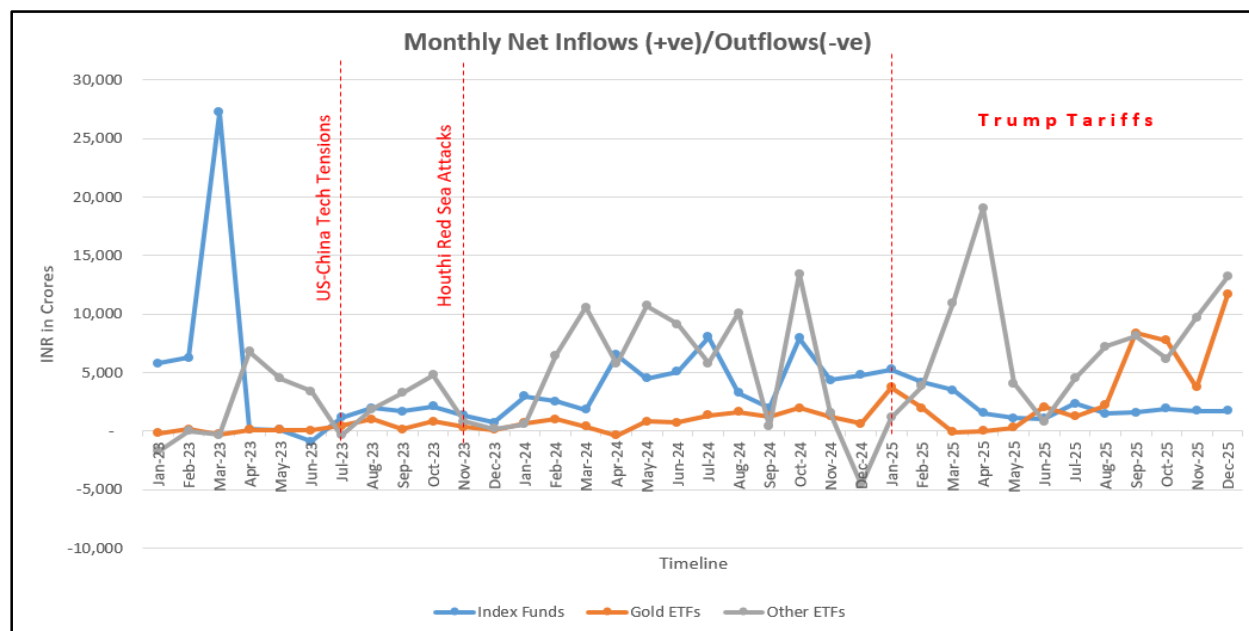


Chart 3: Monthly Net Inflows and Major Geopolitical Events (Data Source: AMFI)

Major Geopolitical Events					
Events	Dates/Duration	Effects			
		Index Funds	Gold ETFs	Other ETFs	
US-China Tech tensions	Jul 2023	Recovering inflows	Steady inflows	Outflows followed by recovering inflows	
Houthi Red Sea attacks	Nov 2023	Gradual rise in inflows	Falling inflows	Slow rise in inflows	
Trump Tariff Fear	Jan 2025 onwards	Falling inflows	Overall rising inflow trend	Rising inflows with a few downswings	

It can be observed that, during the two initial tension phases, the rise in inflows has been less and slower. However, in the mid phase, inflows in index funds and other ETFs rise. While in the latter phase, gold ETFs and other ETFs take the lead.

Therefore, eventually investors are shifting towards defensive assets as well as volatile assets like other ETFs (including Silver ETFs).

V. Implications and Conclusions

Inferences of the result:

Significant interpretations can be drawn from the data presentation in the previous section. Briefly, it is observed that retail investors respond to global uncertainty, conditionally and specifically to asset classes. However, sudden isolated shocks tend to influence retail investor behavior negatively. Currency depreciation and monetary policy adjustments have an opposite directional impact. During exchange rate fluctuations, inflows into gold ETFs increase, as justified by a positive correlation between them. However, expansionary monetary policy has a negligible influence on any shifts in asset reallocation (negative association), highlighting a comparatively weaker association with retail investor behavior. This interpretation aligns with the conventional findings of gold being a historical hedge against macroeconomic instability.

Event-based trend analysis also signifies the inflows into gold ETFs amid geopolitical upheavals, mostly during prolonged uncertainty rather than episodic spikes. Apart from the conventional shift towards safe-haven assets, retail reallocation to alternative funds was also observed. This behavior challenges the flight to safety narrative. It indicates that speculations coexisted with defensive allocation. Therefore, the retail investor's behavior may not be termed as purely risk-averse but adaptive and multidimensional.

From a behavioral perspective, these findings are consistent with heuristic-driven decision-making. Retail investors during the given timeframe appeared more sensitive to geopolitical developments and visible exchange rate fluctuations rather than monetary policy adjustments. Moreover, the differentiated response across asset classes further suggests heterogeneous risk

perception instead of a uniform shift in risk sentiment. It is important to note that all findings of this study represent association among variables rather than causation, as the net inflows of funds are treated as proxies for the retail investor behavior analysis.

The overall analysis indicates that retail investments were driven by adaptive portfolio allocation behavior. Fund flows are observed to be influenced by selective hedging, moderated equity exposure, and concurrent opportunistic participation in alternative volatile assets.

Implications:

The implications derived from this research study provide useful insights to multiple actors. For financial analysts, it is suggested to avoid modelling retail flows as homogenous reactions as the study results emphasizes on asset-class differentiation. It can be noted that behavioral segmentation across asset categories is necessary. While structuring forecasting models, currency sensitivity and uncertainty persistence should be incorporated.

The findings indicate that the investment advisors should recognize the differentiated risk perception across asset classes. Emphasis should be given more to structured hedging rather than reactive balancing in portfolio strategies made by wealth managers. This necessitated addressing disciplined allocation and defensive and speculative impulses in advisory strategies.

The evidence highlights that retail investors should avoid replacing long-term allocation discipline with short-term volatility reactions. During uncertainty, ETF-based hedging may be managed with risk control measures such as diversification.

This study also provides implications for policymakers and regulators. In order to spread awareness about behavioral bias, financial literacy programs should be organized. With reference to the results of this study, it is suggested to strengthen investor communication strategies during

geopolitical uncertainty. Moreover, as this study implies that ETFs are playing a key role in retail hedging behavior, regulatory monitoring becomes vital.

Limitations:

Though this study provides insightful implications based on authentic secondary data, it has several limitations. The primary limitation is data scope, i.e., time-bound (2023-25), event-specific context, and retail ETF flows only. The methodological limitation also exists as only correlation as a statistical tool is used, which identifies association but not causation. As the fund inflows are used as a proxy for behavior, it lacks capturing individual-level investor psychology. Primary data-based research can be a solution to this limitation. The data collected represents only ETFs and index funds rather than physical gold purchases and direct stock-level retail data. This highlights the asset coverage limitation. This study focused specifically on the Indian context; the findings may differ in developed markets.

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Data Appendix

(Secondary data source: AMFI, RBI, and NSE)

Months - 2023-25	Net Inflow (+ve)/Outflow (-ve) (INR in crore)			Exchange Rates 2023 - 2025		
	Index Funds	Gold ETFs	Other ETFs	AVG INR/USD	ΔINR/USD	
Jan-23	5,813	-199	-1,709	₹ 81.90		
Feb-23	6,244.30	165.42	28.93	₹ 82.61	0.71	Depreciation
Mar-23	27,228.30	-266.57	-330.60	₹ 82.29	-0.32	Appreciation
Apr-23	147.37	124.54	6,790.45	₹ 82.02	-0.27	Appreciation
May-23	108.69	103.12	4,523.74	₹ 82.34	0.32	Depreciation
Jun-23	-905.74	70.32	3,402.35	₹ 82.23	-0.11	Appreciation
Jul-23	1,179.26	456.15	-353.25	₹ 82.15	-0.08	Appreciation
Aug-23	1,985.68	1,028.06	1,892.88	₹ 82.79	0.63	Depreciation
Sep-23	1,682.36	175.29	3,241.92	₹ 83.05	0.26	Depreciation
Oct-23	2,088.61	841.23	4,769.26	₹ 83.24	0.19	Depreciation
Nov-23	1,353.46	333.37	833.62	₹ 83.30	0.06	Depreciation
Dec-23	703.20	88.31	200.29	₹ 83.28	-0.02	Appreciation
Jan-24	2,987.99	657.46	571.19	₹ 83.12	-0.16	Appreciation
Feb-24	2,536.37	997.22	6,461.67	₹ 82.96	-0.16	Appreciation
Mar-24	1,822.41	373.36	10,559.77	₹ 83.00	0.03	Depreciation
Apr-24	6,524.06	-395.69	5,746.99	₹ 83.41	0.41	Depreciation
May-24	4,490.35	827.43	10,689.66	₹ 82.34	-1.06	Appreciation
Jun-24	5,071.82	726.16	9,134.06	₹ 83.47	1.13	Depreciation
Jul-24	8,019.70	1,337.35	5,787.28	₹ 83.59	0.12	Depreciation
Aug-24	3,247.24	1,611.38	10,093.57	₹ 83.90	0.30	Depreciation
Sep-24	1,960.29	1,232.99	381.04	₹ 83.81	-0.09	Appreciation
Oct-24	7,931.01	1,961.57	13,441.82	₹ 83.24	-0.57	Appreciation
Nov-24	4,342.84	1,256.72	1,531.23	₹ 84.36	1.13	Depreciation
Dec-24	4,785.96	640.16	-4558.33	₹ 84.99	0.62	Depreciation
Jan-2025	5,254.66	3,751.42	1,171.69	₹ 86.27	1.28	Depreciation
Feb-2025	4,177.02	1,979.84	3,846.10	₹ 87.05	0.79	Depreciation
Mar-2025	3,500.70	-77.21	10,961.74	₹ 86.64	-0.42	Appreciation
Apr-2025	1,555.44	-5.82	19,056.66	₹ 85.56	-1.08	Appreciation
May-2025	1,104.42	291.91	4,086.81	₹ 85.19	-0.37	Appreciation
Jun-2025	1,043.09	2,080.85	844.43	₹ 85.90	0.71	Depreciation
Jul-2025	2,329.87	1,256.09	4,476.91	₹ 86.11	0.21	Depreciation
Aug-2025	1,502.57	2,189.51	7,244.11	₹ 87.52	1.40	Depreciation
Sep-2025	1,580.65	8,363.13	8,150.79	₹ 88.32	0.80	Depreciation
Oct-2025	1,929.42	7,743.19	6,181.70	₹ 88.42	0.09	Depreciation
Nov-2025	1,726.81	3,741.79	9,720.74	₹ 88.83	0.41	Depreciation
Dec-2025	1,730.50	11,646.74	13,199.44	₹ 90.09	1.27	Depreciation

Repo Rates - 2023-2025		
Months	Repo rate (%)	ΔRepo rate (%)
Jan-23	6.25	n.a.
Feb-23	6.5	0.25
Mar-23	6.5	0
Apr-23	6.5	0
May-23	6.5	0
Jun-23	6.5	0
Jul-23	6.5	0
Aug-23	6.5	0
Sep-23	6.5	0
Oct-23	6.5	0
Nov-23	6.5	0
Dec-23	6.5	0
Jan-24	6.5	0
Feb-24	6.5	0
Mar-24	6.5	0
Apr-24	6.5	0
May-24	6.5	0
Jun-24	6.5	0
Jul-24	6.5	0
Aug-24	6.5	0
Sep-24	6.5	0
Oct-24	6.5	0
Nov-24	6.5	0
Dec-24	6.5	0
Jan-25	6.5	0
Feb-25	6.25	-0.25
Mar-25	6.25	0
Apr-25	6	-0.25
May-25	6	0
Jun-25	5.5	-0.5
Jul-25	5.5	0
Aug-25	5.5	0
Sep-25	5.5	0
Oct-25	5.5	0
Nov-25	5.5	0
Dec-25	5.25	-0.25